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equilibrium? The profit maximisation is achieved when MC=MR.

'OM' is the equilibrium output. 'OP' is the equilibrium price. The total revenue is 'OMQP'. And the total cost is 'OMRS'. Therefore, total profit is 'PQRS'. This is super normal profit under short-run.

But under differing revenue and cost conditions, the monopolistically competitive firms many incur loss.

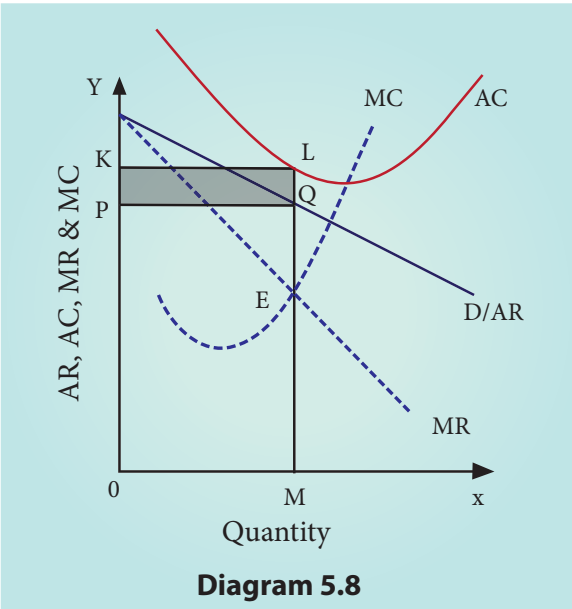


Diagram 5.8

As shown in the diagram, the AR and MR curves are fairly elastic. The equilibrium situation occurs at point 'E', where MC = MR and MC cuts MR from below.

The equilibrium output is OM and the equilibrium price is OP.

The total revenue of the firm is 'OMQP' and the total cost of the firm is 'OMLK' and thus the total loss is 'PQLK'. This firm incurs loss in the short run.

Long-Run Equilibrium of the Firm and the Group Equilibrium

In the short run a firm under monopolistic competition may earn super

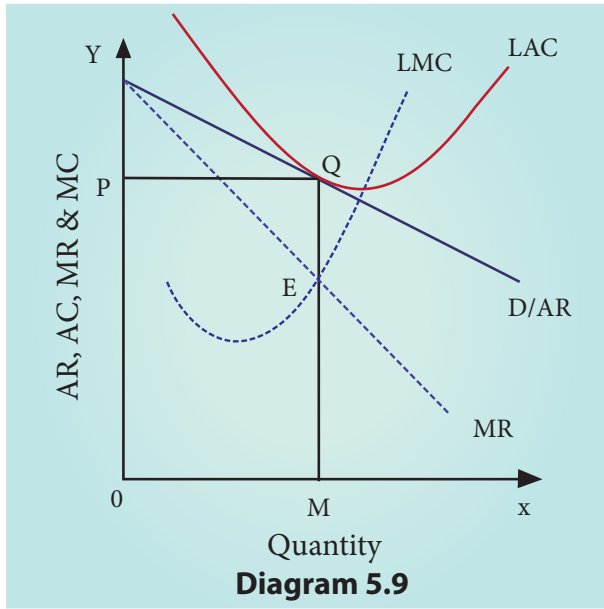


Diagram 5.9

normal profit or incur loss. But in the long run, the entry of the new firms in the industry will wipe out the super normal profit earned by the existing firms. The entry of new firms and exit of loss making firms will result in normal profit for the firms in the industry.

In the long run AR curve is more elastic or flatter, because plenty of substitutes are available. Hence, the firms will earn only normal profit.

The only one condition for equilibrium in the short run	:	*MC = MR.*
The two conditions for equilibrium in the long run	:	*MC = MR and AC = AR.*

In the diagram equilibrium is achieved at point 'E'. The equilibrium output is 'OM' and the equilibrium price is 'OP'. The average revenue at the equilibrium output is 'MQ' and the average cost is also 'MQ'. Thus, in the long run under monopolistic competition, there is